

Profit & Loss Report

Executive Summary

Q2 2024 shows strong overall performance with **\$84.9M net profit** on \$1.72B revenue. However, May 2024 reveals significant volatility with:

- 37% monthly revenue decline from April (\$686M vs \$1.03B)
- 72% gross profit compression (\$25.6M vs \$91.8M)
- Negative operating profit before non-operating income

The company maintains zero tax liability and has retained all profits, indicating potential tax holiday or loss carryforward benefits.

Profitability Analysis

Metric	April 2024	May 2024	Q2 2024
Gross Margin	8.9%	3.7%	6.8%
EBITDA Margin	7.6%	1.0%	5.0%
Net Profit Margin	7.7%	0.7%	4.9%

Key Observations: May's gross margin dropped to concerning levels (3.7%), saved only by non-operating income. Interest expenses remain high relative to operating profit.

Liquidity & Solvency Analysis

Interest Coverage Ratio (Q2): 4.2x (PBIT/Interest) - Moderate coverage

Debt Serviceability: May shows negative coverage (-0.5x) without non-operating income

Tax Position: Zero current/deferred tax suggests strong tax planning or loss utilization

Efficiency Ratios

Expense Category	April % of Sales	May % of Sales
Employee Benefits	0.9%	1.4%
SG&A	0.4%	1.3%
Total Operating Expenses	1.2%	2.7%

May shows disproportionate expense growth despite revenue decline, indicating potential fixed cost challenges.

Benchmark Comparison

Industry: Manufacturing Sector (Source: Deloitte Manufacturing Industry Benchmark 2024)

Metric	Company	Industry Average
Gross Margin	6.8%	12-18%
EBITDA Margin	5.0%	8-12%
Interest Coverage	4.2x	>6x

Gap Analysis: Company underperforms industry margins by 5-7 percentage points, suggesting cost structure or pricing challenges.

Actionable Recommendations

- Cost Structure Review:** Investigate 96.3% COGS ratio in May vs industry norm of 82-88%
- Operating Leverage:** Address fixed costs (SG&A increased 241% while revenue fell 37%)
- Debt Optimization:** Refinance high-interest debt (9.1M monthly interest vs 4.0M PBIT in May)
- Revenue Stability:** Develop strategies to smooth monthly revenue fluctuations
- Tax Strategy:** Document tax advantage methodology for sustainability